

HDFC Bank Ltd

NSE: HDFCBANK | BSE: 500180 | Banking — Private Sector | 11 June 2026

HOLD Target Price: ₹780 | CMP: ₹785 (18-Jul-2026) | Downside: -0.7%

Snapshot		
Market cap	~₹11.9 lakh Cr	52-wk range: ₹1,020 / ₹727 (post-bonus)
FY26 PAT (standalone)	₹74,670 Cr (+10.9%)	Consolidated PAT ₹79,219 Cr
Asset quality	GNPA 1.15% / NNPA 0.38%	CAR 19.7% (CET1 17.3%)
P/B (FY26) / ROE	~2.1x / ~14%	Dividend ₹15.5/share FY26

Investment Summary

HDFC Bank's FY2026 marked the year its post-merger balance-sheet repair visibly delivered: deposits grew 14.4% against advances growth of 12.0%, pulling the credit-deposit ratio steadily down from merger-era highs, while standalone PAT rose 10.9% to ₹74,670 crore. Asset quality remains the sector benchmark (GNPA 1.15%, NNPA 0.38%) and capital is abundant at a 19.7% CAR.

The investment case is now a tug-of-war between best-in-class franchise quality and a structurally lower ROE (~14% versus ~17% pre-merger) while the merged book reprices. The stock's 23% decline over twelve months — steeper than the Bank Nifty — already concedes much of this, leaving the bank at roughly 2.1x FY26 book.

Our excess-return model (cost of equity 11.0%, terminal growth 5.5%) values the bank at ₹737 per share. Triangulated across a justified P/B on normalized ROE (₹754), peer P/B (₹894) and peer P/E (₹826), our blended fair value is ₹780 — essentially in line with the ₹785 price. We rate HDFC HOLD: a best-in-class franchise, fairly valued, with the pace of post-merger ROE recovery the key swing factor.

FY2026 Results Review

On the consolidated view used in our model, FY2026 total income (NII plus other income) reached ₹3.10 lakh crore, with NII of ₹1.63 lakh crore. Q4 standalone NII of ₹33,081 crore grew a muted 3.2% YoY — the cost of carrying the merger-era borrowing stack — but Q4 PAT of ₹19,221 crore (+9.1%) showed operating leverage returning. Full-year consolidated PAT rose 7.9% to ₹79,219 crore.

Deposits crossed ₹31.0 lakh crore (+14.4%), with CASA at 34.1%. Gross advances of ₹29.6 lakh crore grew 12.0%. The board recommended a ₹13 final dividend, taking FY26 to ₹15.5 per share (~31% consolidated payout) — a clear step-up in distribution policy.

Key FY2026 Highlights

- Standalone PAT ₹74,670 Cr, +10.9% YoY; consolidated PAT ₹79,219 Cr.
- Deposits +14.4% to ₹31.05 lakh Cr; CASA 34.1%; advances +12.0%.
- GNPA 1.15%, NNPA 0.38% — best-in-class large-bank asset quality.
- CAR 19.7%, CET1 17.3% — significant excess capital.

- FY26 dividend ₹15.5/share; payout lifted to ~31%.

Financial Summary (Consolidated, ₹ Crore)

	FY2023	FY2024	FY2025	FY2026	FY2027E
Net interest income	92,974	1,29,510	1,52,473	1,63,124	~1,82,400
Other income	33,912	1,24,346	1,34,548	1,46,848	~1,58,600
PAT (consolidated)	46,149	65,446	73,440	79,219	~87,600
EPS (₹)*	41.2	42.2	46.3	49.4	~54
ROE	~17%	~17%	~14%	~14%	~14.5%
Net worth	2,89,438	4,56,396	5,21,789	5,81,514	~6,42,800

Source: Company filings via Screener.in (FY2023–FY2026 actuals); FY2027E from the accompanying Excel model. E = estimate.

Valuation

Banks are best valued on returns over cost of equity, so we use a five-year excess-return (residual income) model on consolidated book value. We assume 11-12% asset growth, a 3.51% NII margin on average assets, 8% other-income growth, a combined cost-plus-provisions ratio easing from 66.5% to 65.3%, and a 30% payout. This drives PAT from ₹87,600 crore in FY27E to about ₹1.3 lakh crore by FY31E with ROE in the mid-14s.

Discounting excess returns at an 11.0% cost of equity (Rf 6.7%, beta 0.78, ERP 5.5%) with 5.5% terminal growth gives an equity value of ₹11.3 lakh crore — ₹737 per share, or about 1.95x FY26 book. That is about 6% below the market on a DCF basis; peer multiples, however, imply nearer ₹850, so the blended view is fair-to-slightly-rich — not yet opportunity. Note FY26 figures reflect the 1:1 bonus issue (shares outstanding ~1,539 crore).

Valuation Bridge	Value
Current net worth (FY2026)	₹5.82 lakh Cr
PV of 5-yr excess returns	₹1.07 lakh Cr
PV of terminal value	₹4.45 lakh Cr
Equity value	₹11.34 lakh Cr
Per share (1,539 Cr shares)	₹737

Multi-method triangulation. We value HDFC four ways, each suited to a bank: (1) excess-return / residual income — ₹737; (2) justified P/B from a normalized ~16% ROE (the reported ~14% is depressed by the HDFC Ltd merger and is recovering) via Gordon, $(16\% - 5.5\%)/(11.0\% - 5.5\%) = 1.91x$ book — ₹754; (3) peer-median P/B — ₹894; and (4) peer-median P/E — ₹826. The intrinsic methods (~₹737–754) sit below the relative methods (~₹826–894): the market awards HDFC a deserved franchise premium. Our 70% intrinsic / 30% relative blend is ₹780, essentially the current price. A dividend-discount model is a light cross-check only given the ~31% payout.

Key Risks

- Slower-than-expected ROE recovery if deposit competition keeps funding costs elevated.
- NIM pressure from RBI rate cuts repricing the loan book faster than deposits.

- Unsecured retail and MSME credit cycle deterioration would test the provisioning line.
- Regulatory actions (e.g., CD-ratio guidance, priority-sector shortfalls) constraining growth.
- Upside risk to a HOLD: faster borrowing run-off lifting NIM and re-rating the stock.

Company Overview

HDFC Bank is India's largest private-sector bank by assets and among the world's ten largest banks by market value. Following the 2023 merger with parent HDFC Ltd, it commands roughly a 15% share of system advances, a 9,000+ branch network, and market leadership across most retail asset categories. Subsidiaries span broking (HDFC Securities), NBFC lending (HDB Financial Services, listed 2025), asset management and insurance.

Disclaimer

This report was prepared for personal analytical and educational purposes. It is not investment advice, an offer, or a solicitation to buy or sell any security. Figures are sourced from public company filings and market data believed reliable but not guaranteed. Forecasts and the target price are illustrative outputs of the accompanying valuation model and depend entirely on its assumptions. Consult a SEBI-registered investment adviser before acting on any information herein.

HDFC Bank Ltd

Equity Valuation Model | NSE: HDFCBANK | BSE: 500180 | Sector: Banking

Prepared for: Debjit | Date: 11 June 2026 | Currency: ₹ Crore

Snapshot

Current price (₹)	785.00
Market cap (₹ Cr)	1,208,115
FY26 net interest income (₹ Cr)	163,124
FY26 PAT (₹ Cr)	79,219
Intrinsic value (₹/share)	737.10
Upside / (downside)	(6.1%)
Implied rating	HOLD

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Disclaimer: For educational/analytical use only. Not investment advice. Figures from public filings; forecasts are illustrative assumptions.

HDFC Bank Ltd — Key Assumptions & Drivers						
All highlighted blue cells are user inputs. ₹ Crore unless stated.						
Market Data						
Current share price (₹, 18-Jul-2026)	785.00					
Shares outstanding (Crore)	1,539.00					
Market capitalisation (₹ Cr)	1,208,115					
Forecast Drivers (FY2027E–FY2031E)						
	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E	
Total asset growth (%)	12.0%	12.0%	12.0%	11.5%	11.0%	
Net interest margin (NII / avg total assets)	3.5%					
Other income growth (%)	8.0%					
Opex + provisions (% of total income)	66.5%	66.2%	65.9%	65.6%	65.3%	
Effective tax rate (%)	22.5%					
Dividend payout (%)	30.0%					
Cost of Equity (CAPM) & Terminal Value						
Risk-free rate (10Y G-Sec)	6.7%					
Equity beta	0.78					
Equity risk premium	5.5%					
Cost of equity = $R_f + \beta \times ERP$	11.0%					
Terminal growth rate (g)	5.5%					
Legend:	Input	Formula	Link			

HDFC Bank Ltd — Historical Financials									
₹ Crore, consolidated. Blue = source data. Source: Company filings (consolidated) via Screener.in; FY2026 results announced Apr 2026. Retrieved 11-Jun-2026.									
Fiscal Year (ends March)	FY2019	FY2020	FY2021	FY2022	FY2023	FY2024	FY2025	FY2026	
Income Statement									
Interest earned	105,161	122,189	128,552	135,936	170,754	283,649	336,367	348,615	
Interest expended	53,713	62,137	59,248	58,584	77,780	154,139	183,894	185,491	
Net interest income (NII)	51,448	60,052	69,304	77,352	92,974	129,510	152,473	163,124	
Other income	18,947	24,879	27,333	31,759	33,912	124,346	134,548	146,848	
Total income (NII + other income)	70,395	84,931	96,637	109,111	126,886	253,856	287,021	309,972	
Operating expenses, provisions & depreciation	36,077	46,736	53,842	58,238	65,387	177,288	190,779	207,830	
Profit before tax	34,318	38,195	42,795	50,873	61,499	76,568	96,242	102,142	
Tax	11,872	10,899	10,938	12,722	15,350	11,122	22,802	22,923	
Profit after tax	22,446	27,296	31,857	38,151	46,149	65,446	73,440	79,219	
EPS (₹)	20.50	24.85	28.87	34.31	41.22	42.16	46.26	49.39	
Dividend payout (%)	18.0%	5.0%	11.0%	23.0%	23.0%	23.0%	24.0%	31.0%	
Balance Sheet									
Equity share capital	545	548	551	555	558	760	765	1,539	
Reserves & surplus	153,128	175,810	209,259	246,772	288,880	455,636	521,024	579,975	
Net worth	153,673	176,358	209,810	247,327	289,438	456,396	521,789	581,514	
Deposits	922,503	1,146,207	1,333,721	1,558,003	1,882,663	2,376,887	2,710,898	3,099,638	
Borrowings	157,733	186,834	177,697	226,966	256,549	730,615	634,606	588,485	
Other liabilities	58,898	71,430	78,279	90,639	101,783	466,296	524,817	638,404	
Total liabilities & equity	1,292,807	1,580,829	1,799,507	2,122,935	2,530,433	4,030,194	4,392,110	4,908,041	
Fixed assets	4,369	4,776	5,248	6,432	8,431	12,604	15,258	16,492	
Investments	289,446	389,305	438,823	449,264	511,582	1,005,682	1,186,473	1,280,216	
Advances & other assets (incl. cash)	998,991	1,186,750	1,355,435	1,667,238	2,010,419	3,011,909	3,190,379	3,611,333	
Total assets	1,292,806	1,580,831	1,799,506	2,122,934	2,530,432	4,030,195	4,392,110	4,908,041	
Balance check (must be ~0)	1	(2)	1	1	1	(1)	-	-	
Key Standalone Metrics, FY2026 (per company release)									
Standalone PAT FY26 (₹ Cr)	74,670 (+10.9% YoY)								
Gross NPA / Net NPA	1.15% / 0.38%								
Capital adequacy (Basel III)	19.7% (CET1 17.3%)								
CASA ratio	34.1%								
Total dividend FY26 (₹/share)	15.5								
Deposits / Advances growth YoY	+14.4% / +12.0%								

HDFC Bank Ltd — 5-Year Earnings & Book Value Forecast							
₹ Crore. Drivers feed from Assumptions.							
Fiscal Year (ends March)	FY2026A	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E	
Total assets	4,908,041	5,497,006	6,156,647	6,895,444	7,688,420	8,534,147	
Average total assets		5,202,523	5,826,826	6,526,045	7,291,932	8,111,283	
Net interest income (NIM × avg assets)		182,609	204,522	229,064	255,947	284,706	
Other income	146,848	158,596	171,284	184,986	199,785	215,768	
Total income		341,204	375,805	414,050	455,732	500,474	
Opex + provisions		226,901	248,783	272,859	298,960	326,809	
Profit before tax		114,303	127,022	141,191	156,772	173,664	
Tax		25,718	28,580	31,768	35,274	39,075	
Profit after tax	79,219	88,585	98,442	109,423	121,498	134,590	
PAT growth (%)		11.8%	11.1%	11.2%	11.0%	10.8%	
Dividends paid		26,576	29,533	32,827	36,449	40,377	
Net worth (BoY + PAT – dividends)	581,514	643,524	712,433	789,029	874,078	968,291	
Return on equity (PAT / avg net worth)		14.5%	14.5%	14.6%	14.6%	14.6%	
Return on assets (PAT / avg assets)		1.7%	1.7%	1.7%	1.7%	1.7%	
Book value per share (₹)	377.85	418.14	462.92	512.69	567.95	629.17	

HDFC Bank Ltd — Excess Return (Residual Income) Valuation						
Standard for banks: value = current book + PV of returns above cost of equity.						
Fiscal Year (ends March)	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E	
Beginning net worth	581,514	643,524	712,433	789,029	874,078	
Profit after tax	88,585	98,442	109,423	121,498	134,590	
Equity charge (Ke × beginning net worth)	63,908	70,723	78,296	86,714	96,061	
Excess return	24,677	27,719	31,127	34,784	38,529	
Discount factor @ Ke	0.901	0.812	0.731	0.659	0.594	
PV of excess return	22,233	22,501	22,766	22,921	22,875	
Valuation Bridge						
Current net worth (FY2026)	581,514					
Sum of PV of excess returns	113,297					
Terminal excess return value	740,398					
PV of terminal value	439,588					
Equity value	1,134,399					
Shares outstanding (Cr)	1,539.00					
Intrinsic value per share (₹)	737.10					
Current market price (₹)	785.00					
Upside / (downside)	(6.1%)					
Implied rating	HOLD					
Implied P/B (FY26)	1.95x					
Sensitivity: Intrinsic Value per Share (₹) — Cost of Equity vs Terminal Growth						
Ke ↓ / Terminal g →	4.5%	5.0%	5.5%	6.0%	6.5%	
10.0%	834	872	919	978	1,053	
10.5%	756	785	819	861	913	
11.0%	691	712	737	767	804	
11.5%	635	651	669	691	717	
12.0%	586	598	612	627	646	

HDFC Bank Ltd — Ratio & Trend Analysis									
Computed from Historical sheet.									
Fiscal Year (ends March)	FY2019	FY2020	FY2021	FY2022	FY2023	FY2024	FY2025	FY2026	
NII growth (%)	—	16.7%	15.4%	11.6%	20.2%	39.3%	17.7%	7.0%	
PAT growth (%)	—	21.6%	16.7%	19.8%	21.0%	41.8%	12.2%	7.9%	
NIM proxy (NII / avg total assets)	4.0%	4.2%	4.1%	3.9%	4.0%	3.9%	3.6%	3.5%	
Other income / total income	26.9%	29.3%	28.3%	29.1%	26.7%	49.0%	46.9%	47.4%	
Cost ratio (opex+prov / total income)	51.2%	55.0%	55.7%	53.4%	51.5%	69.8%	66.5%	67.0%	
Return on assets (PAT / avg assets)	1.7%	1.9%	1.9%	1.9%	2.0%	2.0%	1.7%	1.7%	
Return on equity (PAT / avg net worth)	14.6%	16.5%	16.5%	16.7%	17.2%	17.5%	15.0%	14.4%	
Deposit growth (%)	—	24.2%	16.4%	16.8%	20.8%	26.3%	14.1%	14.3%	
Asset growth (%)	—	22.3%	13.8%	18.0%	19.2%	59.3%	9.0%	11.7%	
Book value per share (₹)	99.85	114.59	136.33	160.71	188.07	296.55	339.04	377.85	
Leverage (assets / net worth, x)	8.4x	9.0x	8.6x	8.6x	8.7x	8.8x	8.4x	8.4x	

HDFC Bank Ltd — Peer Comparison (Indian Banks)						
Blue = inputs (as researched, Jun 2026). Yellow = update with live data.						
Bank	Price (₹)	EPS FY26 (₹)	BVPS (₹)	PAT FY26 (₹ Cr)	P/E (x)	P/B (x)
HDFC Bank	785.00	49.50	394.00	74,670	15.9x	2.0x
ICICI Bank	1,460.00	75.71	503.00	57,936	19.3x	2.9x
Kotak Mahindra Bank	2,000.00	95.00	784.00		21.1x	2.6x
Axis Bank	1,352.90	96.00	680.00		14.1x	2.0x
State Bank of India	1,004.10	92.00	702.00		10.9x	1.4x

MARKET APPROACH — COMPARABLE COMPANY ANALYSIS	
Peer median P/E (x)	16.7
Peer median P/B (x)	2.27
Implied value — median P/B × FY26 BVPS (₹)	894

VALUATION TRIANGULATION — FOOTBALL FIELD (multi-method)			
Method	Low (₹)	Base (₹)	High (₹)
Excess-return / Residual Income (intrinsic)	663	737	811
Justified P/B — normalized ROE (intrinsic)	678	754	829
Comparable companies — P/B	805	894	984
Comparable companies — P/E	743	826	909
Blended target (70% intrinsic / 30% comps)		780	
Current market price (₹)		785.00	
Implied upside / (downside)		-0.7%	

DDM (Gordon): light cross-check only — ~30% payout; RI captures retained value. Reported ROE ~14% depressed by HDFC Ltd merger, normalizing toward 1

INTRINSIC MULTIPLE — JUSTIFIED P/B (Gordo	
Sustainable ROE (normalized; reported ~14% rec	16.0%
Sustainable growth g	5.5%
Cost of equity (Ke)	11.0%
Justified P/B = (ROE – g)/(Ke – g)	1.91
Justified-P/B implied value = P/B × BVPS (₹)	754

MARKET MULTIPLE — P/E-IMPLIED	
P/E-implied value = peer median P/E × EPS (₹)	826